

Misr Fertilizers Production Company (MFPC.CA)

Equity valuation as of 02-Jul-2026. Share price EGP 36.00 on 01-Jul-2026. Rates snapshot seed-2026-09-23. Company data: Audited financial statements for the year ended 31 December 2025 (with FY2024 comparatives). All amounts in EGP. Auditor: Crowe - Dr. A. M. Hegazy & Co., report dated 09-Mar-2026.

EGP 26.54

Blended value per share

Implied upside -26.3%

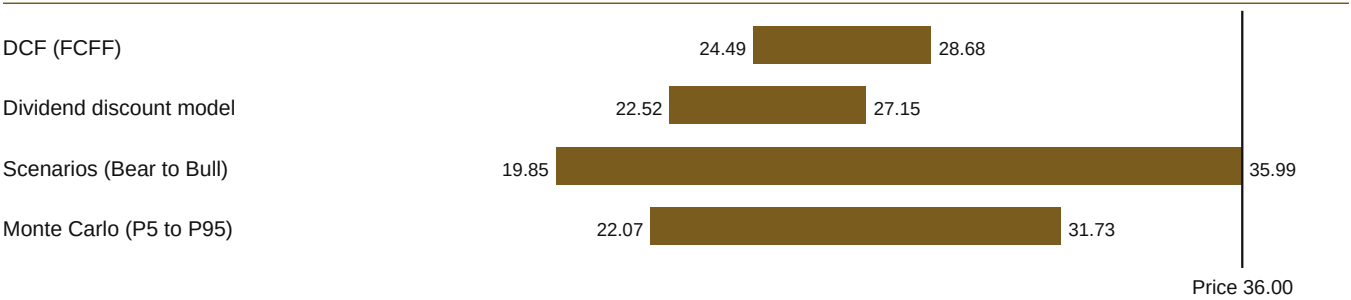
Below market price

Value range across methods: EGP 19.85 to 35.99

Value by method

Method	Value per share (EGP)	Entered	Effective Note
DCF (FCFF)	26.33	75%	75.0%
Dividend discount model	27.15	25%	25.0%
Trading comparables	n/a	0%	0.0%
Precedent transactions	n/a	0%	0.0%
Sum of the parts	n/a	0%	0.0%
Blended value per share	26.54	100%	100.0%

Football field (value per share, EGP)



Filled bars enter the valuation range; outlined bars are references only. The vertical line is the share price.

Key assumptions

Assumption	Value Source / basis
Risk-free rate	21.58% EGP 10Y government bond, secondary-market YTM (eg.bond10ySecondary), as of
Mature-market equity risk	4.20% Damodaran, 2026-07-01
Levered beta	1.0617 Unlevered 1.0605 (Chemical (Basic), dataset 2026-01-05), D/E 0.001452
Cost of equity	26.04% CAPM method local_rf
WACC	26.03% E/V 99.85%, D/V 0.15%
Terminal growth	10.00% Near Egypt long-run nominal GDP; test sensitivity.
Terminal method	Gordon Exit multiple 5.66x (Estimate)
Projection years / mid-year	5 / on Stub fraction year 1: 0.4986
Employee and board distributions	10.22% Percent of prior-year net profit, deducted from FCFF

Warnings

Warning: Risk-free rate eg.bond10ySecondary is stale (as of 2026-05-21).

Warning: Stable growth 10.00% exceeds ROE x retention = 24.25% x 35.58% = 8.63%.

Cost of capital

Component	Value	Basis
Risk-free rate	21.58%	eg.bond10ySecondary, as of 21-May-2026 (stale)
Unlevered beta	1.0605	Chemical (Basic), dataset 2026-01-05
D/E (market values)	0.001452	Debt 149,970,052; equity 103,253,049,468
Relevering tax rate	22.50%	Statutory corporate income tax
Levered beta	1.0617	Unlevered x (1 + (1 - t) x D/E)
Blume-adjusted beta (cross-check)	1.0411	Not used
Mature-market ERP	4.20%	Damodaran
Country risk premium	9.28%	Not added: country risk is in the local risk-free rate
Size / illiquidity premium	0.00%	Analyst assumption
Cost of equity	26.04%	Method local_rf
Interest coverage	1,757.5x	Normalized EBIT / debt and lease interest
Synthetic rating / spread	Aaa/AAA / 0.40%	Damodaran table
Pre-tax cost of debt	21.98%	Method synthetic
After-tax cost of debt	17.03%	Tax 22.50%
E/V and D/V	99.85% / 0.15%	Market values
WACC	26.03%	

Risk-free rate eg.bond10ySecondary is stale (as of 2026-05-21).

Discounted cash flow (EGP)

	2026E	2027E	2028E	2029E	2030E	Terminal
Revenue	36,671,380,520	47,656,890,572	58,763,052,748	68,548,399,840	75,403,239,824	82,943,563,806
Revenue growth	36.6%	30.0%	23.3%	16.7%	10.0%	10.0%
EBITDA	20,147,958,528	26,183,608,068	32,285,546,193	37,661,803,225	41,427,983,548	45,570,781,903
D&A	2,566,466,727	2,941,695,435	3,448,711,887	4,077,557,958	4,798,077,782	5,566,276,149
EBIT	17,581,491,801	23,241,912,633	28,836,834,306	33,584,245,267	36,629,905,766	40,004,505,753
NOPAT	13,625,656,146	18,012,482,291	22,348,546,587	26,027,790,082	28,388,176,968	31,003,491,959
Capex	(7,988,979,290)	(10,346,223,647)	(12,712,980,424)	(14,778,213,266)	(16,199,099,266)	(17,819,009,193)
Change in NWC	(1,019,199,442)	(1,139,318,031)	(1,151,830,981)	(1,014,847,952)	(710,922,183)	(782,014,402)
Distributions	(1,154,506,418)	(1,563,738,152)	(2,012,071,784)	(2,455,217,555)	(2,831,236,240)	(3,072,467,780)
FCFF	6,029,437,723	7,904,897,896	9,920,375,285	11,857,069,267	13,444,997,061	14,896,276,733
Share of year included	0.4986	1.0000	1.0000	1.0000	1.0000	
Years from valuation date	0.2493	0.9986	2.0000	3.0014	4.0014	
Discount factor	0.9440	0.7937	0.6296	0.4994	0.3963	
Present value	2,837,977,942	6,274,416,740	6,246,073,053	5,921,860,550	5,328,206,031	

Terminal value and enterprise value	EGP
Sum of present values	26,608,534,317
Gordon terminal value (g 10.00%, FCFF next year 14,896,276,733)	92,950,063,712
Exit-multiple terminal value (5.66x x EBITDA)	234,441,614,249
PV of terminal value used (Gordon, discount factor 0.3530)	32,812,530,873
Enterprise value	59,421,065,190
PV of terminal value / EV	55.2%

Terminal value and enterprise value	EGP
Implied exit multiple from Gordon	2.24x
Implied growth from exit value	19.67%
Reinvestment rate: g / RONIC vs forecast terminal year	38.4% vs 42.0%

Enterprise value to equity value (balance sheet 31-Dec-2025)

Line	EGP
Enterprise value	59,421,065,190
Cash and cash equivalents	2,971,664,846
FVTPL securities	2,573,762,308
Amortized-cost investments (current)	734,010,745
Amortized-cost investments (non-current)	10,659,141,927
Associates (carrying value)	2,424,170
Memo: Restricted / pledged deposits (excluded, memo)	1,010,115,488
Bank debt and bonds	-
Lease liabilities (EAS 49)	(149,970,052)
Employee benefit obligations	(692,084,641)
Minority interest	-
Preferred equity	-
Equity value	75,520,014,493
Diluted shares	2,868,140,263
DCF value per share	26.33
Upside versus price	-26.9%
Implied EV / normalized EBITDA FY2025A	4.03x
Implied EV / EBITDA FY2026E	2.95x
Implied P/E FY2025A / FY2026E	6.69x / 4.94x

The bridge uses the latest audited balance sheet; cash generated and dividends paid between the fiscal year end and the valuation date are not captured.

Sensitivity (value per share, EGP; base case at the centre)

WACC x terminal growth. Rows: WACC (%). Columns: Terminal growth (%).

	8.00%	9.00%	10.00%	11.00%	12.00%
24.03%	27.39	28.27	29.27	30.43	31.79
25.03%	26.09	26.85	27.70	28.68	29.80
26.03%	24.95	25.60	26.33	27.16	28.10
27.03%	23.93	24.49	25.12	25.83	26.63
28.03%	23.01	23.50	24.05	24.66	25.35

WACC x exit multiple. Rows: WACC (%). Columns: Exit EV/EBITDA (x).

	3.7x	4.7x	5.7x	6.7x	7.7x
24.03%	35.27	40.75	46.23	51.71	57.19
25.03%	34.39	39.68	44.96	50.25	55.53
26.03%	33.55	38.65	43.75	48.84	53.94
27.03%	32.74	37.66	42.58	47.50	52.42
28.03%	31.96	36.71	41.46	46.21	50.96

Revenue growth x gross margin. Rows: Revenue growth delta (pp, every year). Columns: Gross margin delta (pp).

	-4.0pp	-2.0pp	+0.0pp	+2.0pp	+4.0pp
-4.0pp	20.91	22.42	23.92	25.43	26.93
-2.0pp	21.87	23.48	25.09	26.70	28.32
+0.0pp	22.88	24.61	26.33	28.06	29.78
+2.0pp	23.95	25.80	27.64	29.49	31.33
+4.0pp	25.09	27.06	29.03	31.00	32.97

Risk-free rate x levered beta. Rows: Risk-free rate (%). Columns: Levered beta.

	0.86	0.96	1.06	1.16	1.26
19.58%	30.77	30.00	29.27	28.59	27.94
20.58%	29.00	28.33	27.70	27.10	26.54
21.58%	27.47	26.88	26.33	25.81	25.31
22.58%	26.13	25.61	25.12	24.66	24.22
23.58%	24.94	24.49	24.05	23.64	23.24

Scenarios (full re-runs)

	Bear	Base	Bull
Probability	25%	50%	25%
Revenue growth delta (every year)	-5pp	+0pp	+5pp
Gross margin delta	-3pp	+0pp	+3pp
WACC used	27.03%	26.03%	25.03%
Terminal growth used	9.00%	10.00%	11.00%
Value per share	19.85	26.33	35.99

Probability-weighted value per share: EGP 27.13.

Dividend discount model (shareholder dividends only)

Base-year DPS **EGP 2.54**

DPS basis	Dividends paid to shareholders FY2025 (7,277,190,123) ÷ 2,868,140,263 shares
Cost of equity	26.04%
High growth / years / stable growth	22.94% / 5 / 10.00%
Two-stage value per share	EGP 27.15
H-model value per share	EGP 22.52
ROE / payout / sustainable growth	24.25% / 64.42% / 8.63%

Stable growth 10.00% exceeds ROE x retention = 24.25% x 35.58% = 8.63%.

USD consistency check

Spot USD/EGP	51.9000
USD WACC / USD terminal growth	18.83% / 5.37%
USD equity value converted at spot	EGP 75,593,322,503
EGP DCF equity value	EGP 75,520,014,493
Gap	0.1%

The USD valuation converted at spot is within 0.1% of the EGP valuation. The EGP discount rate and the inflation path used for forward FX rates are broadly consistent.

Reverse DCF and Monte Carlo

At the share price of EGP 36.00, the DCF implies a terminal growth rate of 17.01% (base 10.00%).

A uniform revenue growth of 36.99% in every projection year reproduces the share price.

Monte Carlo (10,000 runs, seed 20260923): mean 26.54, median 26.33, P5 22.07, P25 24.45, P75 28.41, P95 31.73; probability of a value above the price 0.3%.

Relative valuation

Trading comparables: no peers entered; the method is excluded from the blend.

Precedent transactions: none entered; the method is excluded from the blend.

Sum of the parts: no segments entered; the method is excluded from the blend.

Historical quality and credit

Piotroski test	Score
Return on assets positive	1
Operating cash flow positive	1
Return on assets improved	0
Cash flow exceeds profit (accruals)	0
Long-term leverage lower	1
Current ratio higher	0
No equity issued	1
Gross margin higher	1
Asset turnover higher	1
F-score (of 9)	6

Piotroski (2000) nine tests; ratios on year-end total assets because the balance sheet before the first year is not available; bonus share issues are not dilution (shares restated).

Altman Z"-EM	FY2024	FY2025
Score	10.15	9.93
Zone	Safe	Safe
DuPont FY2025 (average balances)	ROE 24.25%	
Net margin x asset turnover x equity multiplier	42.08% x 0.450 x 1.279	
Tax burden x interest burden x EBIT margin	0.805 x 1.082 x 48.28%	
Net debt / EBITDA	-1.10x	
Interest cover (debt and lease interest)	1832.5x	
FFO / debt	94.7x	

Net cash position: net debt / EBITDA is negative.

FX sensitivity

Not computed: Enter the share of costs linked to the USD (no default). USD-linked revenue share: 79.97%.

Egyptian Accounting Standards reflected in the statement lines

EAS 47 (Financial instruments): The statements report FVTPL securities EGP 2,573,762,308; amortized-cost investments EGP 11,393,152,672; expected credit loss reversal EGP 357,037,587 in FY2025 at 2025-12-31. Investments are added in the equity bridge; the ECL movement is removed in normalization.

EAS 48 (Revenue from contracts with customers): Customer advances (contract liabilities) of EGP 386,154,612 at 2025-12-31 are treated as operating working capital.

EAS 49 (Leases): Lease liabilities of EGP 149,970,052 and right-of-use assets of EGP 72,034,336 at 2025-12-31; lease interest EGP 7,072,409 in FY2025. Lease liabilities are deducted in the equity bridge and lease interest is used for the cost of debt.

Sources (rates snapshot seed-2026-09-23, frozen 2026-09-24)

Company data: Audited financial statements for the year ended 31 December 2025 (with FY2024 comparatives). All amounts in EGP. Auditor Crowe - Dr. A. M. Hegazy & Co., report dated 09-Mar-2026. Share price: EFG Hermes research page (user input; EGX has no free official price feed).

Id	Value	As of	Status	Used	Source and URL
cbe.overnightDeposit	19.000%	20-Aug-2026	stale		Central Bank of Egypt: https://www.cbe.org.eg/en/
cbe.overnightLending	20.000%	20-Aug-2026	stale		Central Bank of Egypt: https://www.cbe.org.eg/en/
cbe.mainOperation	19.500%	20-Aug-2026	stale		Central Bank of Egypt: https://www.cbe.org.eg/en/
cbe.discountRate	19.500%	20-Aug-2026	stale		Central Bank of Egypt: https://www.cbe.org.eg/en/monetary-policy/
cbe.inflationTarget (CBE guidance now points to 2H 2027)	7.000%	20-Aug-2026	ok		Central Bank of Egypt:
cbe.inflationTargetPoint	7.000%	20-Aug-2026	ok		Central Bank of Egypt:
cbe.mpcCalendar	2 rows	23-Sep-2026	unconfirmed		Central Bank of Egypt, MPC meetings schedule: https://www.cbe.org.eg/en/monetary-policy/
eg.cpiUrbanHeadline	14.500%	31-Aug-2026	ok		CAPMAS (reported by CBE):
eg.cpiCore	14.900%	31-Aug-2026	ok		Central Bank of Egypt:
eg.cpiNationwide	12.700%	31-Aug-2026	ok		CAPMAS: TO_VERIFY
eg.usdEgp	51.9000	21-Sep-2026	ok	yes	Market close (owner research): TO_VERIFY
eg.bond10ySecondary	21.580%	21-May-2026	stale	yes	Cbonds: TO_VERIFY
eg.tbondAuction.3y	23.147%	13-Jul-2026	stale		Central Bank of Egypt, T-bond auction results:
us.treasury10y	5.100%	23-Sep-2026	ok	yes	US Treasury (intraday, owner research): https://home.treasury.gov/
eg.rating.moodys	Caa1 (positive)	03-Apr-2026	ok		Moody's Ratings: https://ratings.moodys.com/ratings-news/462631
eg.rating.sp	B (stable)	11-Apr-2026	ok		S&P Global Ratings press release; secondary: Ahram Online
eg.rating.fitch	B (stable)	11-Oct-2025	unconfirmed		Fitch Ratings (via Ahram Online, 11-Oct-2025):
eg.cit	22.500%	23-Sep-2026	ok	yes	Income Tax Law 91/2005: TO_VERIFY
eg.dividendWht.listed	5.000%	29-Jul-2026	ok		Law 151 of 2026: TO_VERIFY
eg.dividendWht.unlisted	10.000%	29-Jul-2026	ok		Law 151 of 2026: TO_VERIFY
eg.participation100pct	Exempt if holding >=25% for >=2 years	29-Jul-2026	ok		Law 151 of 2026: TO_VERIFY
eg.stampDuty.perSide	0.050%	29-Jul-2026	ok		Law 151 of 2026: TO_VERIFY
eg.cgt.listedShares	Exempt (replaced by stamp duty)	29-Jul-2026	ok		Law 151 of 2026: TO_VERIFY
damodaran.matureErp	4.200%	01-Jul-2026	ok	yes	Damodaran Online (NYU Stern): https://pages.stern.nyu.edu/~adamodar/
damodaran.volatilityScalar	1.5545	01-Jul-2026	ok		Damodaran Online (NYU Stern): https://pages.stern.nyu.edu/~adamodar/
damodaran.egypt.rating	Caa1	01-Jul-2026	ok		Damodaran Online (NYU Stern): https://pages.stern.nyu.edu/~adamodar/
damodaran.egypt.defaultSpread	5.970%	01-Jul-2026	ok	yes	Damodaran Online (NYU Stern): https://pages.stern.nyu.edu/~adamodar/
damodaran.egypt.crp	9.281%	01-Jul-2026	ok	yes	Damodaran Online (NYU Stern): https://pages.stern.nyu.edu/~adamodar/
damodaran.egypt.totalErp	13.481%	01-Jul-2026	ok		Damodaran Online (NYU Stern): https://pages.stern.nyu.edu/~adamodar/
damodaran.rf.egp	10.204%	01-Jul-2026	ok		Damodaran Online (NYU Stern): https://pages.stern.nyu.edu/~adamodar/
damodaran.rf.usd	4.230%	01-Jul-2026	ok		Damodaran Online (NYU Stern): https://pages.stern.nyu.edu/~adamodar/
damodaran.expectedInflation.egp	8.217%	01-Jul-2026	ok		Damodaran Online (NYU Stern): https://pages.stern.nyu.edu/~adamodar/
damodaran.expectedInflation.usd	2.350%	01-Jul-2026	ok		Damodaran Online (NYU Stern): https://pages.stern.nyu.edu/~adamodar/
damodaran.betas.emerging	96 rows	05-Jan-2026	ok	yes	Damodaran Online (NYU Stern):
damodaran.synthetic.large	15 rows	01-Jan-2026	ok		Damodaran Online (NYU Stern):
damodaran.synthetic.small	15 rows	01-Jan-2026	ok	yes	Damodaran Online (NYU Stern):

Methodology (condensed)

- Timeline: year-1 cash flow scaled by YEARFRAC(valuation date, first fiscal year end, actual/actual); discount dates at period mid-points when mid-year is on; years = days from the valuation date / 365; terminal value discounted from the final period end.
- Normalization: reported operating profit less ECL movements, impairment reversals, provisions released and disposal gains (analyst-editable); finance income and FX translation are non-operating.
- Forecast: revenue growth, gross margin before D&A, SG&A and other operating items as % revenue; D&A by PP&E roll-forward; capex % revenue; working capital by receivable, inventory and payable days; drivers fade linearly from the last actual year to terminal drivers.
- FCFF = NOPAT + D&A - capex - change in NWC - employee and board distributions (percent of prior-year net profit), NOPAT at the statutory

tax rate.

- Cost of equity by CAPM with a bottom-up beta (Damodaran emerging-markets unlevered beta corrected for cash, relevered at market D/E); cost of debt from a synthetic rating on debt and lease interest; market-value weights.
- Terminal value: Gordon growth on the terminal-year FCFF and exit multiple on final-year EBITDA, both computed; terminal capex default consistent with reinvestment = g / RONIC ($\text{RONIC} = \text{WACC}$).
- Equity value = EV + cash, FVTPL and amortized-cost investments, associates - debt, leases, employee benefit obligations, minority interest and preferred equity; restricted deposits excluded.
- DDM: two-stage and H-model on shareholder dividends only, discounted at the cost of equity.
- Scenarios and sensitivities are full re-runs of the model. Monte Carlo uses a seeded generator. The blend uses the entered weights; methods without inputs are excluded.
- References: Damodaran, Investment Valuation and Damodaran Online datasets; Koller, Goedhart and Wessels, Valuation (McKinsey, 7th ed.); CFA Institute equity valuation curriculum.

Disclaimer

Prepared by Ahmed Wael Metwally with the WOLF Valuation Engine. This document is analytical only and is not investment advice, a recommendation, or an offer to buy or sell securities. It is not a research publication licensed by the Financial Regulatory Authority (FRA) of Egypt. Company data and assumptions are user-supplied; macro rates are taken from the rates snapshot listed on the Sources page with their dates and statuses.